

Chart of Accounts Best Practice Tips - a Dynamics Consultant's Perspective | by Robertson | Hitachi Solutions Braintrust | Medium

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Chart of Accounts Best Practice Tips — a Dynamics Consultant's Perspective At the heart of ERP, a chart of accounts (COA) can be found branching out through the business. As part of an ERP implementation, the COA needs to be cleaned up and made extensible, preparing it for ease of use and growth with the business post new ERP implementation. COAs can be global in Dynamics or vary by legal entity, depending on the organization's needs. It takes time and effort to come up with a well-thought out, well-designed COA. A new COA requires mapping of old data from the legacy system to the new COA for data migration. Data validation after a new COA implementation can be quite cumbersome. In testing after COA modification, you may find changes or additions must be made for best fit to the business or for Dynamics-required setups. The COA has to be made to work for the business and the new ERP and, as the client becomes better versed in the new ERP, additional tweaks to the COA will likely be necessary. Here are some best practice tips that can be used to facilitate the COA revision process:

1. Don't wait! It is critical that the conversation with the client around COA revision start early. The COA revision should be as complete as it can be prior to the first load for initial Dynamics configuration. An overhaul of the COA post-ERP setup can be very time-consuming, requiring not only an update of the COA itself, but of Main Account-referencing Posting Profiles and other Dynamics configurations.
2. Get everyone involved. Encourage the finance contact(s) responsible for the COA overhaul on the client side to work closely with contacts from other parts of the business to make sure everyone's needs are being heard and met. Consider the organizational structure/hierarchy. Do the financial dimensions (segments) capture all that is needed for separation of activity, or should the detail be captured in additional main accounts that are, perhaps, unique to various parts of the business?
3. How many digits? How many characters would the client like used for main account numbers in Dynamics? Between four and six are common lengths. Prior to import, verify all main accounts meet the decided-on length. Main account masking on the COA can be configured as a control to ensure newly created or changed main account numbers in Dynamics meet the necessary length and all characters are numeric. Alpha characters can be used in main account numbering and included in masking, too, but is not seen very often.
4. Account numbering. Overall COA numbering follows balance sheet and income statement presentation. The first digit of main accounts enables grouping of like, high-level sets of accounts and typically follows the below standard: The second digit in a main account number is used to classify subsets of the primary groupings defined by the main account first digit. Here is an example of how you might see second digits employed in the assets grouping: A digit might be selected to identify accounts possessing similar properties. For example, contra accounts might all end in the number "9" to make them stand out: Remaining digits can be used to classify other traits or subsets of accounts if needed, along with at least one unique identifier to specifically pinpoint the subject account.
5. Extensibility. Main account numbering should allow for easy growth of the COA with the business while maintaining the order of accounts. Gaps between main account numbers should be part of planning the COA revision. Gap size appropriate for the business depends on the frequency of the addition of new accounts and COA changes. In the example below, a gap of 10 numbers has been left between main accounts to allow for the creation of future new accounts that may need to be inserted to retain the planned structure of the COA. In this example, an "in transit" bank account for a bank that already exists is being set up for use as a bridging account.
6. Beware of special characters. Main account names can usually be whatever the client needs them to be in Dynamics. When you get into the financial report

builds however, you may encounter errors in the Report Designer due to disallowed special characters.

7. Legal entity override. You can take advantage of the option to prohibit use of main accounts in specified Dynamics legal entities without having to implement additional COA. Configuration can be done at the main account or via entity load.

8. Spell check. Prior to import, it is a good idea to perform one last check. Summary Overhaul of the COA is quite a task to take on, especially under the pressure and demands of a new ERP implementation. Helpful hints are good to have but a second set of eyes is invaluable. As the consultant and expert, perform a careful review of the COA presented by the client for use in Dynamics and meet/discuss until all looks good. You, of course, want the client to be pleased with the finished product so don't be afraid to provide feedback and constructive criticism when needed. Little things, like spell check, are easily overlooked with tasks this big and the client will appreciate your help.